

# NEIGHBORHOOD INTELLIGENC INC NXH

September 03, 2026 - 10:34am EST  
by

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|                      |      |          | 2026 | 2027 |
|----------------------|------|----------|------|------|
| Price:               | 3.95 | EPS      | 0    | 0    |
| Shares Out. (in M):  | 100  | P/E      | 0    | 0    |
| Market Cap (in \$M): | 395  | P/FCF    | 0    | 0    |
| Net Debt (in \$M):   | -25  | EBIT     | 0    | 0    |
| TEV (in \$M):        | 370  | TEV/EBIT | 0    | 0    |

## Description

Deep in the bowels of hatred lies: (NXH) Neighborhood Intelligence formerly known as Bed Bath & Beyond (BBBY). Two major catalysts are on the horizon, A) monetization of Blockchain portfolio (which we estimate is worth \$150-200+ million which is carried at \$82 million) w/ very strong signs that it could be higher (Intercontinental Exchange (ICE) \$90 billion mkt cap, investor and expanding relationship, and PR transaction in short order, see below) B) an enormously different and better business inside NXH that the market doesn't appreciate that is valuing the company around 1-2x normalized EV/EBITDA. We believe the hatred is misplaced but is driven in parts of many opinions (negative) on Marcus Lemonis and a formerly structurally broken drop shipping model in BBBY. Why the long write up? We think NXH will monetize their Blockchain portfolio in short order with a banker they hired in mid August for 50%+ of the market cap bringing cash to \$250 million on \$400 million market cap. The language from the August 17th hiring a banker is clear: a transaction in short order. Back to the operating business, at 35% GM on the current revenue base NXH generates \$150 million in EBITDA on \$2.5 billion in sales or 1x EBITDA if we are correct. Currently, you are buying: \$2.5 billion in sales with \$700-750 million in gross margin, for \$400 million w/ what we expect will soon be \$250+ million in cash or \$150 million in what we estimate the value of the Blockchain portfolio. The largest shareholder at 7.5% is a blockchain fund which is interesting given NXH is a retailer with a hidden asset in Blockchain. Roughly 11 million shares are short which could also generate a large re-rating on a sale of Blockchain portfolio this fall. We see downside of \$3 and upside of \$10, with the stock at \$3.80. Consensus targets are at \$10.30, with a high of \$17 and low of \$7.

The appearance is that most of these brands died, which is partially true, their balance sheets died, and were stuck in the past unable to pivot. They became debt heavy, unbalanced business models, stuck in the past, and lacked a competitive moat. All bad. Why is this time different? These businesses were stuck in the past with OPEX, shrinking/share losers, and debt heavy balance sheets which prevented innovation. When BBBY died (physical retail), it was effectively converted to a drop shipping business, however the business still generated \$800 million in sales and has brand awareness higher than Wayfair (W \$14 billion). Now you have good brands (well defined: The Container Store-great real estate, closest/organization add BBBY inside, Lumber Liquidators- Flooring, BBBY 80%+ brand awareness), a clean balance sheet, improving gross margins, slashing OPEX, revenue growth and most importantly, the business is now effectively an omni retailer which is code for selling where the customer is buying which is 70% offline and 30% online in end market of \$400 billion a year. The collection of businesses should be able to generate 35%+ GM's, are squeezing out a lot of cost, with a large revenue base of \$2.5 billion. Most importantly, BBBY is growing organically at 7%. So what does this all mean: brands/omni-channel= **"Based on the plan today, we believe that we can aggregate a cash-on-cash return that is more than 100% as we exit and deploy capital to exit those things. Beginning in the third quarter, we expect quarterly net revenue to move into the low \$500 million range going forward.-AUG Earnings call"** There are a lot of options on options inside of NXH, which are primarily a) sale of blockchain and b) an operating business with growth M&A and organic, improving GM value for 1-2x normalized EV/EBITDA vs. peers at 15+ (so there is a massive discount here, which is understandable, but believe looking at the business investors may feel differently after they take a look at a radically different company that is 1-2 quarters in).

| Chart Selected Items         |   |                                               |                                        |                           |                           |
|------------------------------|---|-----------------------------------------------|----------------------------------------|---------------------------|---------------------------|
| For the Fiscal Period Ending |   | LTM <sup>2</sup><br>12 months<br>Jun-30-2026A | 12 months <sup>†</sup><br>Dec-31-2026E | 12 months<br>Dec-31-2027E | 12 months<br>Dec-31-2028E |
| Currency                     |   | USD                                           | USD                                    | USD                       | USD                       |
| Total Revenue                | ↓ | 1,139.5                                       | 1,709.30                               | 2,338.87                  | 2,818.60                  |
| Growth Over Prior Year       | ↓ | 1.0%                                          | 63.63%                                 | 36.83%                    | 20.51%                    |
| Gross Profit                 | ↓ | 288.3                                         | -                                      | -                         | -                         |
| Margin %                     | ↓ | 25.3%                                         | 26.70%                                 | 29.45%                    | 31.90%                    |
| EBITDA                       | ↓ | (68.2)                                        | (59.40)                                | (16.78)                   | 140.40                    |
| Margin %                     | ↓ | (6.0%)                                        | -                                      | -                         | 4.98%                     |
| EBIT                         | ↓ | (72.6)                                        | (122.35)                               | (60.20)                   | 92.50                     |
| Margin %                     | ↓ | (6.4%)                                        | -                                      | -                         | 3.28%                     |



### PR: Hiring Banker to Monetize Blockchain Portfolio

"The process is underway, and the **Company expects actionable choices in short order.**"

"We believe these assets are **severely underappreciated**, and the time to act is now," said Marcus Lemonis, Executive Chairman and Chief Executive Officer of Neighborhood Intelligence. "Our strategy has not changed. What may change is the address of our ownership—not our belief in the opportunity. We believe a different structure may provide greater visibility, allow the market to **more appropriately value these assets** and, most importantly, provide our shareholders access to that value while preserving our ability to participate in their future.....Neighborhood Intelligence is **already engaged in discussions with parties that see strategic value in the Company' assets**, including opportunities to combine with exiting capabilities or enhance Neighborhood Intelligence's growth potential."

### tZERO / ICE — Aug. 31 Update

- ICE is investing directly in tZERO's latest financing round. Investment amount and valuation **remain undisclosed**.
- tZERO becomes a "premier design partner" for ICE's upcoming **NYSE-affiliated tokenized securities platform**, specifically digital transfer-agent and broker-dealer infrastructure.
- ICE is licensing tZERO's blockchain IP: **23 patent families / 103 patents**, covering compliant transfers, smart contracts, corporate actions and broker-dealer identity interoperability.
- Subject to regulatory/technical requirements, tZERO is expected to become an **approved digital transfer agent and subscriber** to the NYSE-affiliated platform.
- ICE and tZERO will also explore using **tZERO tokenized assets as collateral at ICE clearinghouses**.

### Analyzing PR re: Strategic Alts:

The strongest clues are "**paths already presented,**" "**already engaged in discussions,**" "**address of our ownership,**" "**contribution into another public company,**" "**preserving economic participation,**" and twice saying "**actionable choices in short order.**" Taken together, those are considerably stronger than a generic strategic-review announcement.

Yes below is AI generated, but felt it was best way to concisely explain asset.

| Rank | Value driver                  | Score | Why it's valuable                                                                                                                                                                                                                                                                                                                                                                                                                   |
|------|-------------------------------|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1    | Regulatory moat               | 10/10 | tZERO already has much of the regulated infrastructure needed to issue, custody, trade and settle digital securities. Replicating licenses, approvals, compliance systems and regulatory history takes significant time and capital. It can potentially participate across issuance → transfer agency → custody → trading → settlement, allowing multiple revenue streams from the same asset rather than a single transaction fee. |
| 2    | End-to-end tokenization stack | 10/10 |                                                                                                                                                                                                                                                                                                                                                                                                                                     |

| Rank    | Value driver                     | Score                | Why addressable                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|---------|----------------------------------|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3       | Massive tokenization TAM         | 10/10                | <p>The addressable market includes tZERO equity, private credit, real estate funds, bonds, IP and other real-world assets. Even tiny market share could support substantial revenue.</p> <p>There are relatively few U.S. companies combining blockchain tokenization with established regulated securities market infrastructure. Scarcity is a key strategic advantage from the same asset rather than a single transaction fee.</p> <p>clearing, exchanges and market infrastructure. Its involvement provides institutional validation and potentially valuable strategic optionality.</p> <p>The addressable market includes private equity, private credit, real estate, funds, bonds, IP and other banks, brokers and fintechs can potentially connect through APIs. "tZERO inside" is probably a more scalable model than building another retail brokerage.</p> <p>Tokenization is a study more valuable for traditionally illiquid assets than for already liquid assets. Creating secondary liquidity for private securities could unlock enormous pools of assets.</p> <p>More issuers → more assets → more investors → better liquidity and potentially valuable reach to a mass, its competitive position could strengthen rapidly.</p> <p>tZERO isn't doing it directly, but its unique and/or another single block chain winning it all. potentially monetize tokenization secondary market which underlying shares become derivative.</p> <p>tZERO started developing Tokenization is much more valuable for traditionally illiquid infrastructure long before today's assets than for already liquid tokenization boom, providing stocks. Creating secondary patents, regulatory experience, liquidity for private securities technology and institutional could unlock enormous pools of knowledge that newer competitors lack.</p> <p>More issuers → more assets → Weighted more investors → better liquidity → more issuers. If tZERO reaches critical mass, its competitive position could strengthen rapidly.</p> |
| 1       | Regulatory moat                  | 10/10                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 4       | Scarcity value                   | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 2       | End-to-end tokenization stack    | 10/10                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 5       | ICE relationship/backing         | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 3       | Massive tokenization TAM         | 10/10                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 6       | tZERO Connect / B2B distribution | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 4       | Scarcity value                   | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 7       | Private-market liquidity         | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 5       | ICE relationship/backing         | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 8       | Network effects                  | 9/10 potential       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 6       | tZERO Connect / B2B distribution | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 10      | Private market liquidity         | 9.5/10               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Outcome | Probability                      | NXH blockchain value |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Shock   | 5%                               | \$67M                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Low     | 20%                              | \$133M               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Base    | 50%                              | \$268M               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

| Rank | Value driver                     | Score          | Why it's valuable                                                                                                                                                                                                                                                                                                                                                                                                                   |
|------|----------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1    | Regulatory moat                  | 10/10          | tZERO already has much of the regulated infrastructure needed to issue, custody, trade and settle digital securities. Replicating licenses, approvals, compliance systems and regulatory history takes significant time and capital. It can potentially participate across issuance → transfer agency → custody → trading → settlement, allowing multiple revenue streams from the same asset rather than a single transaction fee. |
| 2    | End-to-end tokenization stack    | 10/10          |                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 3    | Massive tokenization TAM         | 10/10          | The addressable market includes private equity, private credit, real estate, funds, bonds, IP and other real-world assets. Even tiny market share could support substantial revenue.                                                                                                                                                                                                                                                |
| 4    | Scarcity value                   | 9.5/10         | There are relatively few U.S. companies combining blockchain expertise with established regulated securities-market infrastructure. Scarcity increases potential strategic/M&A value. <a href="#">Intercontinental Exchange</a> owns the NYSE and understands clearing, exchanges and market infrastructure. Its involvement provides institutional validation and potentially valuable strategic optionality.                      |
| 5    | ICE relationship/backing         | 9.5/10         | Instead of convincing millions of consumers to use tZERO directly, banks, brokers and fintechs can potentially connect through APIs. "tZERO inside" is probably a more scalable model than building another retail brokerage.                                                                                                                                                                                                       |
| 6    | tZERO Connect / B2B distribution | 9.5/10         |                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 7    | Private-market liquidity         | 9.5/10         | Tokenization is much more valuable for traditionally illiquid assets than for already-liquid stocks. Creating secondary liquidity for private securities could unlock enormous pools of assets.                                                                                                                                                                                                                                     |
| 8    | Network effects                  | 9/10 potential | More issuers → more assets → more investors → better liquidity → more issuers. If tZERO reaches critical mass, its competitive position could strengthen rapidly.                                                                                                                                                                                                                                                                   |

| Rank                                | Value driver                  | Score   | Why it's valuable                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------|-------------------------------|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1                                   | Regulatory moat               | 10/10   | tZERO already has much of the regulated infrastructure needed to issue, custody, trade and settle digital securities. Replicating licenses, approvals, compliance systems and regulatory history takes significant time and capital. It can potentially participate across issuance → transfer agency → custody → trading → settlement, allowing multiple revenue streams from the same asset rather than a single transaction fee. |
| Bull                                | 25% to-end tokenization stack | \$0.57M |                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Expected                            |                               |         |                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| At <b>110M shares</b> :             |                               |         |                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>\$278M ÷ 110M = \$2.53/share</b> |                               |         |                                                                                                                                                                                                                                                                                                                                                                                                                                     |

So the language itself would move my probability-weighted blockchain NAV from approximately **\$2.29 → \$2.53 per NXH share**.

| Rank | Public company                                     | Strategic fit            | Deal likelihood | Why                                                                                                                                                                                                                                                          |
|------|----------------------------------------------------|--------------------------|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1    | <a href="#">Siebert Financial (SNFCA)</a>          | 10/10                    | 8/10            | Already selected tZERO as the sole market for its convertible debt. The addressable market includes private equity, private credit, real estate, funds, bonds, IP and other real-world assets. Even tiny market share could support substantial revenue.     |
| 3    | <a href="#">Intercontinental Exchange (ICE)</a>    | Massive tokenization TAM | 10/10           | Existing NYSE market infrastructure + huge distribution + tokenized equity ambitions                                                                                                                                                                         |
| 2    |                                                    | 10/10                    | 5/10            |                                                                                                                                                                                                                                                              |
| 3    | <a href="#">Robinhood (HOOD)</a>                   | 9.5/10                   | 5/10            | There are relatively few U.S. companies combining blockchain expertise with established distribution                                                                                                                                                         |
| 4    | <a href="#">Coinbase (COIN)</a>                    | 9/10                     | 5/10            | Digital asset infrastructure + institutional distribution                                                                                                                                                                                                    |
| 4    | Scarcity value                                     | 9.5/10                   |                 | regulated securities market infrastructure. Scarcity increases potential strategic/M&A value.                                                                                                                                                                |
| 5    | <a href="#">Figure Technology Solutions (FIGR)</a> | 9/10                     | 6/10            | RWA/blockchain capital markets + complementary infrastructure                                                                                                                                                                                                |
| 6    | <a href="#">Nasdaq (NDAQ)</a>                      | 9/10                     | 4/10            | <a href="#">Intercontinental Exchange</a> owns the NYSE and understands clearing, exchanges and market distribution + 24-hour trading                                                                                                                        |
| 7    | <a href="#">Interactive Brokers (IBKR)</a>         | 8.5/10                   | 3/10            | provides institutional validation and potentially valuable strategic but weaker infrastructure fit                                                                                                                                                           |
| 5    | ICE relationship/backing                           | 9.5/10                   |                 |                                                                                                                                                                                                                                                              |
| 8    | <a href="#">SoFi (SOFI)</a>                        | 7.5/10                   | 3/10            | Instead of convincing millions of consumers to use tZERO directly, banks, brokers and fintechs can potentially connect through APIs. The vision behind Neighborhood "tZERO inside" is probably a more scalable model than building another retail brokerage. |

Okay, back to the business operations: Marcus (we actually like Marcus, in August he turned down his bonus and bought stock in the open market, bought cheap assets out of Chap 11, monetizing Blockchain portfolio) he comes with grandiose visions which are hard to stomach (full disclaimer), but he has acquired Lumber Liquidators, The Container Store (both out of Chapter 11), Kirkland's, F1 Closests, Fathom Brokerage. The vision behind Neighborhood Intelligence is to cross sell NXH products and services across an average homeownership profile of 11 years. The theory is: Acquire homeowner → understand home → sell products → install products → service home → finance/insure home → facilitate sale → retain customer relationship. The thesis does NOT depend on this being successful, but that GM's crack into the mid 30's over the next 12-18 months. What does this mean? What we see an evolving business model from structurally unviable model to an omni-channel retailer. What does that mean? Selling where the consumer is, both offline and 30% online, and with this comes materially better GM's, which expanded 300 basis points out of the gate. The collection of brands and doing roughly 12 million consumer transactions a year.

|                                     |                                 |                                                          |                                                                                                   |
|-------------------------------------|---------------------------------|----------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| 7                                   | Private-market liquidity        | 9.5/10                                                   | stocks. Creating secondary liquidity for private securities could unlock enormous pools of assets |
| <b>Business / asset</b>             | <b>NXH ownership</b>            | <b>What it does</b>                                      | <b>Website</b>                                                                                    |
| <b>Bed Bath &amp; Beyond</b>        |                                 | 100%Home furnishings e-commerce / brand                  | <a href="#">Bed Bath &amp; Beyond</a>                                                             |
| <b>Overstock</b>                    |                                 | 100%Online home furnishings                              | <a href="#">Overstock</a>                                                                         |
| <b>buybuy BABY</b>                  |                                 | 100% digital brand/IPBaby products                       | <a href="#">More buybuy</a>                                                                       |
| <b>Kirkland's / Kirkland's Home</b> | 100% via Brand House Collective | Physical + online home décor retail                      | <a href="#">Kirkland's</a>                                                                        |
| <b>The Container Store</b>          | <b>Network effects</b>          | 100% via Container StorePremium shelving/storage systems | <a href="#">The Container Store</a>                                                               |
| <b>Elfa</b>                         |                                 | 100% via Container StoreCustom closets / organization    | <a href="#">Elfa</a>                                                                              |
| <b>Closet Works</b>                 |                                 |                                                          | <a href="#">Closet Works</a>                                                                      |

Website: [Bed Bath & Beyond](#), [Overstock](#), [buybuy BABY](#), [Kirkland's](#), [The Container Store](#), [Elfa](#), [Closet Works](#)  
More issuers → more assets → more investors → better liquidity → more issuers. If tZERO reaches critical mass, its competitive position could strengthen rapidly.

| Business / asset     | NXH ownership                           | What it does                                                      | Website         |
|----------------------|-----------------------------------------|-------------------------------------------------------------------|-----------------|
| SFV Services         |                                         | 100% Construction, renovation, facilities/project management      | —               |
| Installed Right      |                                         | 100% Installation of flooring, closets, cabinetry, fixtures, etc. | —               |
| Beyond Home Services |                                         | NXH platformUmbrella home-services platform                       | —               |
| tZERO                | ~22.6% direct                           | Regulated tokenized securities infrastructure                     | tZERO           |
| Medici Ventures LP   | ~99% of LP economics                    | Blockchain/venture investment portfolio                           | Medici Ventures |
| GrainChain           | Direct + indirect investment exposure   | Supply-chain/blockchain infrastructure                            | GrainChain      |
| Zulily Newco         | 25% based on latest disclosed ownership | Online retail                                                     | —               |

Note:

1: NXH for simplicity owns 39% of tZero, which we think is likely worth \$400-500 million. 2: Lumber Liquidators should close over the next 60 days.

Important August Earning call quotes.

"For the second consecutive quarter, our base e-commerce business delivered year-over-year revenue growth after 19 consecutive quarters of decline. Across the entire omnichannel business, revenue increased 28%. Orders delivered doubled and both revenue and gross margin improved."

Looking through the merger and transaction-related costs, I was very pleased with our team and company's performance. While 2 quarters are not a victory, and the work is far from finished. What matters is that the operating model is now producing measurable evidence that it is working, revenue growth, order growth, margin expansion and early integration results from the businesses we've acquired."

"When I officially assumed the role of CEO in January, we saw the company could no longer organize itself around disaster recovery, protecting liquidity, building working capital, improving operations and rebuilding credibility where necessary. But a company cannot build its future while looking only in the rearview mirror. We had to move from rescuing the business we inherited to designing the business we believe should exist and to begin allocating people, capital and attention around what will go right."

"Based on the plan today, ***we believe that we can aggregate a cash-on-cash return that is more than 100% as we exit and deploy capital to exit*** those things. Beginning in the third quarter, we expect quarterly net revenue to move into the low \$500 million range going forward. Not every acquisition is closed, but that's the base that we can see right in front of us."

"It is our estimation that in order to ***hit mid- to high single-digit EBITDA margin, our gross margins would need to be around 35%***, and there would have to be \$50 million of SG&A in our current form as we sit here today, taken out of the business. We are well on our way to identifying what those items are, which is why I mentioned that it will take money to terminate relationships and leases and contracts."

Investment Thesis Key: Path to 35% GM= \$150+ million in EBITDA

**Why 35% Gross Margins Are Achievable:** We believe the path to a ~35% consolidated gross margin is less heroic than it initially appears because NXH is no longer the structurally low-margin, predominantly drop-ship e-commerce business reflected in its historical financials. The acquisition mix is shifting revenue toward materially higher-margin categories and vertically integrated businesses, including The Container Store/Elfa, custom closets, Cabinets To Go, flooring and installation/home services, while management is simultaneously improving the economics of the legacy BBBY/Overstock platform. The early evidence supports this transition: consolidated gross margin reached **26.8% in Q2'26, up ~310 bps year over year from 23.7%**, despite the portfolio still being mid-integration and Kirkland's experiencing what management characterized as its seasonally weakest quarter. More importantly, the underlying businesses have substantially different margin profiles: we estimate Container Store/Elfa can operate around **45–55% gross margins, Cabinets To Go around 55–60%, Lumber Liquidators around 30–40%, and home services around 30–40%**, compared with only ~20–30% for the legacy Overstock/BBBY marketplace. As these higher-margin businesses become a larger percentage of consolidated revenue, NXH should benefit from a favorable mix shift even before considering purchasing scale, private-label penetration, freight optimization, installation attachment and cross-selling. Management has explicitly stated that approximately **35% gross margin**, combined with roughly **\$50 million of SG&A reductions**, is what is required to achieve a mid-to-high-single-digit EBITDA margin. We therefore do not view 35% as requiring every business to achieve 35% margins; rather, it is the weighted result of ~50%+ margin organization/cabinet businesses, ~30–40% flooring/services businesses and a lower-margin but improving e-commerce platform. At a ~\$2.5 billion revenue base, every 100 bps of gross-margin improvement represents roughly **\$25 million of incremental gross profit**, meaning a move from the current ~27% toward 32–35% would add approximately **\$125–200 million of annual gross profit** before the planned SG&A reductions. The thesis does not require management's broader homeowner ecosystem vision to succeed: continued mix shift toward the acquired higher-margin businesses and execution on already identified merchandising, sourcing, installation and integration opportunities can plausibly move consolidated margins into the low-to-mid 30s. **We view 32–33% as a conservative underwriting case and ~35% as an achievable execution case rather than a blue-sky assumption.**

| NXH business                 | Gross-Margin Estimate |
|------------------------------|-----------------------|
| Container Store / Elfa       | 45–55%                |
| Cabinets To Go               | 55–60%                |
| Kirkland's                   | 25–35%                |
| Overstock / BBBY marketplace | 20–30%                |
| Lumber Liquidators           | 30–40%                |
| Southwind flooring           | 25–35%                |
| Home Services                | 30–40%                |
| Fathom brokerage             | 8–15%*                |
| Mortgage/title               | 30–50%*               |

It's early but GM's are expanding with headwinds:

**Q2'25:** 23.7%

**Q3'25:** 25.3%

**Q4'25:** 24.6%= PRE-ACQUISITIONS

**Q1'26:** 23.9%

**Q2'26:** 26.8% (Kirkland's worst quarter)

**Maintaining Price Target:** Following 2Q'26 results and a constructive follow-up call with management, we are maintaining our probability weighted price target of \$10 per share. While we are bullish on the long-term story for BBBY and model the company pro-forma for all pending deals closing, we note the market may want to see further execution on the profitability front before getting more constructive on shares. **We note that our blended \$10 per share price target includes about \$2 per share of value for the digital assets' portfolio.**

**Figure 3: Bed Bath & Beyond, Inc. – Price Target Calculation**

| USD in millions, except per share data          |             |             |              |
|-------------------------------------------------|-------------|-------------|--------------|
|                                                 | BEAR CASE   | BASE CASE   | BULL CASE    |
| FY'28 Pro-Forma Adj. EBITDA                     | 140         | 140         | 140          |
| <b>Valuation Multiple</b>                       | <b>3.0x</b> | <b>5.0x</b> | <b>10.0x</b> |
| Implied Segment Value                           | 421         | 702         | 1,404        |
| <i>Implied Revenue Multiple</i>                 | <i>0.2x</i> | <i>0.3x</i> | <i>0.5x</i>  |
| Digital Assets Portfolio Book Value             | 56          | 56          | 56           |
| <b>Valuation Multiple</b>                       | <b>0.0x</b> | <b>2.5x</b> | <b>5.0x</b>  |
| Implied Segment Value                           | -           | 140         | 280          |
| <b>Combined Segment Values</b>                  | <b>421</b>  | <b>842</b>  | <b>1,684</b> |
| Plus: Pro-Forma Net Cash                        | 126         | 126         | 126          |
| Implied Equity Value                            | 547         | 967         | 1,809        |
| Divided: Shares Outstanding (Pro-Forma FYE'26)  | 119.1       | 119.1       | 119.1        |
| <b>Implied Equity Value Per Share</b>           | <b>\$5</b>  | <b>\$8</b>  | <b>\$15</b>  |
| Outcome Probability Weighting                   | 20%         | 50%         | 30%          |
| Implied Value Per Share                         | \$1         | \$4         | \$5          |
| <b>Probability Weighted Price Target</b>        | <b>\$10</b> |             |              |
| <i>Implied FY'28 EBITDA Valuation Multiple</i>  | <i>7.6x</i> |             |              |
| <i>Implied FY'28 Revenue Valuation Multiple</i> | <i>0.5x</i> |             |              |
| <i>Potential Upside / (Downside)</i>            | <i>98%</i>  |             |              |

Source: Company reports, Wedbush Securities Inc.

Risks:

1. GM fail to improve and the company burns cash
2. Fail to monetize Blockchain portfolio

I do not hold a position with the issuer such as employment, directorship, or consultancy.  
I and/or others I advise hold a material investment in the issuer's securities.

## Catalyst

Sale of Blockchain portfolio allegedly in "short order" could lead to 50-60% of the market cap in net cash

Intercontinental Exchange (ICE) \$90 billion market cap, an investor in Blockchain asset tZero and expanding and commercializing see August 31st announcement.

Valued at 0.15x EV/Sales, with growth, improving GM, and about 1-2x normalized EBITDA vs. Wayfair/William Sonoma @ 15-17x

re-rating: As NXH begins to look like an omni-channel retailer similar to peers with a pile of cash from Blockchain sale.

## Messages

**Subject** Comments  
**Entry** 09/03/2026 08:01 PM  
**Member** mrbing

Thanks for posting this idea, and FWIW we agree and think NXH is very cheap. I think it is a deeply unpopular idea, though. People don't like Marcus, shareholders have been heavily diluted with all the M&A, the ownership base is very retail heavy who mainly own it as a disappointing meme stock, and did I mention people don't like Marcus? But the numbers are what they are and the math works...if they can even sniff the normalized gross margins their collection of businesses can do, there is real earnings power here which isn't being appreciated by the market. Speaking with the company, it is clear they are aware of a) the timeline it will take to integrate and get the various pieces to their run-rates, b) the associated expense for that, and c) their balance sheet, liquidity, and ability to finance these projects. I think most people believe Marcus is an idiot who doesn't know what he's doing, but most would be surprised how aware and candid about his business he is if you speak to him. My guess is this works because TZero is valuable and should get a bid, and the retail business should ramp (as you mention, we already have proof of how organic growth has been trending), but it isn't going to be a straight line and we aren't getting a near term "all clear". But at current levels, the stock is not very demanding in that regard.

**Subject** Street consensus #'s  
**Entry** 09/04/2026 10:07 AM  
**Member** zach721

Thanks. Agree. Below the Street consensus #'s....if you add \$150-200 million for the Blockchain portfolio...NXH will have 60% of the market cap in net cash and for \$150 million the risk/reward is quite undemanding:

| Fiscal Years                |   | '02 | '03 | '04 | '05 | '06        | '07 | '08 | '09 | '10 | '11 | '12        | '13 | '14 | '15 | '16 | '17 | '18 | '19        | '20 | '21 | '22 | '23 | '24 | '25        | '26 | '27 | '28 | '29 | '30 |            |
|-----------------------------|---|-----|-----|-----|-----|------------|-----|-----|-----|-----|-----|------------|-----|-----|-----|-----|-----|-----|------------|-----|-----|-----|-----|-----|------------|-----|-----|-----|-----|-----|------------|
| NasdaqGS:NXH (USD)          |   |     |     |     |     | 2026       |     |     |     |     |     | 2027       |     |     |     |     |     |     | 2028       |     |     |     |     |     | 2029       |     |     |     |     |     | 2030       |
| EPS (GAAP)                  | U |     |     |     |     | (1.43 E)   |     |     |     |     |     | (0.60 E)   |     |     |     |     |     |     | 0.61 E     |     |     |     |     |     | 0.84 E     |     |     |     |     |     | 1.09 E     |
| EPS Normalized              | U |     |     |     |     | (1.31 E)   |     |     |     |     |     | (0.08 E)   |     |     |     |     |     |     | 0.61 E     |     |     |     |     |     | 0.84 E     |     |     |     |     |     | 1.09 E     |
| Company Level (USD)         |   |     |     |     |     | 2026       |     |     |     |     |     | 2027       |     |     |     |     |     |     | 2028       |     |     |     |     |     | 2029       |     |     |     |     |     | 2030       |
| Revenue                     | U |     |     |     |     | 1,709.30 E |     |     |     |     |     | 2,338.87 E |     |     |     |     |     |     | 2,818.60 E |     |     |     |     |     | 2,890.60 E |     |     |     |     |     | 2,959.00 E |
| EBITDA                      | U |     |     |     |     | (59.40 E)  |     |     |     |     |     | (16.78 E)  |     |     |     |     |     |     | 140.40 E   |     |     |     |     |     | 178.20 E   |     |     |     |     |     | 219.40 E   |
| EBIT                        | U |     |     |     |     | (122.35 E) |     |     |     |     |     | (60.20 E)  |     |     |     |     |     |     | 92.50 E    |     |     |     |     |     | 129.10 E   |     |     |     |     |     | 169.10 E   |
| EBT (Excl. Excep)           | U |     |     |     |     | (112.90 E) |     |     |     |     |     | (6.70 E)   |     |     |     |     |     |     | 97.50 E    |     |     |     |     |     | 134.10 E   |     |     |     |     |     | 174.10 E   |
| EBT (GAAP)                  | U |     |     |     |     | (122.21 E) |     |     |     |     |     | (55.24 E)  |     |     |     |     |     |     | 97.50 E    |     |     |     |     |     | 134.10 E   |     |     |     |     |     | 174.10 E   |
| Net Income (Excl. Excep)    | U |     |     |     |     | (98.50 E)  |     |     |     |     |     | (6.90 E)   |     |     |     |     |     |     | 74.10 E    |     |     |     |     |     | 101.90 E   |     |     |     |     |     | 132.30 E   |
| Net Income (GAAP)           | U |     |     |     |     | (111.70 E) |     |     |     |     |     | (44.71 E)  |     |     |     |     |     |     | 74.10 E    |     |     |     |     |     | 101.90 E   |     |     |     |     |     | 132.30 E   |
| Net Debt                    | U |     |     |     |     | (101.35 E) |     |     |     |     |     | (69.90 E)  |     |     |     |     |     |     | -          |     |     |     |     |     | -          |     |     |     |     |     | -          |
| Depreciation & Amortization | U |     |     |     |     | 25.66 E    |     |     |     |     |     | 29.06 E    |     |     |     |     |     |     | 28.20 E    |     |     |     |     |     | 28.90 E    |     |     |     |     |     | 29.60 E    |
| Cash From Operations        | U |     |     |     |     | (34.07 E)  |     |     |     |     |     | (3.95 E)   |     |     |     |     |     |     | 140.00 E   |     |     |     |     |     | 179.10 E   |     |     |     |     |     | 187.20 E   |
| Capital Expenditure         | U |     |     |     |     | (9.16 E)   |     |     |     |     |     | (23.62 E)  |     |     |     |     |     |     | (28.50 E)  |     |     |     |     |     | (27.00 E)  |     |     |     |     |     | (26.10 E)  |
| Free Cash Flow              | U |     |     |     |     | (43.23 E)  |     |     |     |     |     | (27.62 E)  |     |     |     |     |     |     | 111.50 E   |     |     |     |     |     | 152.10 E   |     |     |     |     |     | 161.20 E   |